Artifacts of money

Since the early attempts at setting values for bartered goods, "money" has come in many forms, from IOUs to tokens. Cows, shells, and precious metals have all been used.

How it works

Bartering was a very immediate form of transaction. Once writing was invented, records could be kept detailing the "value" of goods traded as well as of the "IOUs." Eventually tokens such as beads, colored cowrie shells, or lumps of gold were assigned a specific value, which meant that they could be exchanged directly for goods. It was a small step from this to making tokens explicitly to represent value in the form of metal discs—the first coins—in Lydia, Asia Minor, from around 650 BCE. For more than 2,000 years, coins made from precious metals such as gold, silver, and (for small transactions) copper formed the main medium of monetary exchange.

Characteristics of money

Money is not money unless it has all of the following defining characteristics: Money must have value, be durable, portable, uniform, divisible, in limited supply, and be usable as a means of exchange. Underlying all of these characteristics is trust—people must be confident that if they accept money, they can use it to pay for goods.

Item of worth

Most money originally had an intrinsic value, such as that of the precious metal that was used to make the coin. This in itself acted as some guarantee the coin would be accepted.

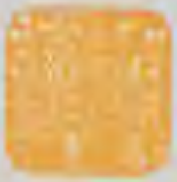
Timeline of artifacts

5,000 BCE

Barter
Early trade involved directly exchanged items—often perishable ones such as a cow.

4,000 BCE

Sumerian cuneiform tablets
Scribes recorded transactions on clay tablets, which could also act as receipts.



1,000 BCE

Cowrie shells
Used as currency across India and the South Pacific, they appeared in many colors and sizes.

600 BCE

Lydian gold coins
In Lydia, a mixture of gold and silver was formed into disks, or coins, stamped with inscriptions.

600 BCE

Athenian drachma
The Athenians used silver from Laurion to mint a currency used right across the Greek world.